authorized by the Act subject to government sanction. If required, the bank could arrange for a part of an individual share issue to be underwritten by one of its subsidiaries which were not subject to such constraints. Barring the function of portfolio investment, the Central Board had approved of the bank undertaking merchant banking services in July 1972.

Bhatt had a senior officer of the bank as officer on special duty under him. To begin with a senior staff officer was designated Chief Officer with two junior officers, three investment analysts, and a few clerical staff to assist him. Bhatt was appointed consultant on a regular basis for a period of two years starting March 1973. The LHOs and subsidiaries were requested to approach entrepreneurs in their area and send project reports to the division for a preliminary study. Once it was satisfied about the viability of the project, the division would arrange for necessary term assistance and also handle equity shares along with underwriting such issues through its subsidiaries if needed.[37] Bhatt recalls that Talwar made available some of his best officers for merchant banking. But when Bhatt told him about the difficulties faced by the division due to transfer of officers to line postings, Talwar was forthright and frank in his reply: ‘Our principal business is commercial banking and other activities are complementary to increase commercial banking. So the requirements of commercial banking must be met first.’[38]

A public issue on behalf of Excel Glasses was the first issue managed by the new division and this was followed by an issue for Eddy Current Control in early 1973. However, the division could not manage all activities on its own and centralizing and processing of applications was allotted to the Bombay main branch and later to the Backbay Reclamation branch. But decentralization also brought with it delays and it was thought a good idea to bring all services under one roof. By the end of 1973 the division was loaded with work. Additional officers and staff were deployed, and a new post of Deputy Chief Officer was created in early 1974. Training also became a focus area. As a first step towards decentralizing operations, merchant banking bureaus were set up at Ahmedabad, Bombay, Calcutta, Madras, and New Delhi LHOs in 1974.

In 1975, the SBI Act was amended to enable the bank to take up underwriting business. Initially it followed a very selective approach undertaking this activity so that projects of national importance and